

World in Brief: Burnham's cabinet picks; Trump's new Canadian tariffs



Photograph: Getty Images

Andy Burnham, [Britain's new prime minister](#), appointed his cabinet. He unexpectedly picked John Healey to be chancellor. Mr Healey [resigned as defence secretary from Sir Keir Starmer's cabinet](#) last month because of a shortfall in military spending. Ed Miliband was named foreign secretary, while Shabana Mahmood will remain home secretary; both had been considered frontrunners for chancellor.

Donald Trump will impose a new 50% **tariff** on many **Canadian** goods for “discriminatory treatment of American products”. The levy will come into effect in 30 days, and be applied using Section 338 of the Tariff Act of 1930, an obscure provision that has not been used before to set levies. Products that are already subject to [tariffs](#), such as steel, will be exempt.

America launched [more strikes](#) on **Iran**, hours after **Mr Trump** warned that Iran “will pay” for killing American soldiers. Earlier, Mr Trump said Binyamin Netanyahu would not be arrested while visiting America in September for the UN General Assembly; Zohran Mamdani, New York's mayor, has said he is exploring the option. The [International Criminal Court](#) issued an arrest warrant for Israel's prime minister in 2024.

Yemen's Houthis announced a maritime blockade on Saudi Arabia, threatening a fragile four-year truce. The [Iran-backed militia](#) said it was responding to a Saudi siege of Sana, Yemen's capital. The group said it would stem the flow of oil from the Red Sea via the [Bab al-Mandab strait](#)—a choke point through which Saudi Arabia has shipped more oil supplies since the closure of the Strait of Hormuz.

Daniel Ortega, **Nicaragua's** president, said that the country would “never” hold elections again, in effect cancelling polls scheduled for next year. During almost two decades of rule, Mr Ortega has regularly suppressed opposition. In 2021 he declared himself the winner of a sham election. But [his regime](#) has not yet come under sustained pressure from the Trump administration, unlike other left-wing Latin American autocracies in Cuba and Venezuela.

The value of **South Korean exports** for the first 20 days of July was almost 63% higher year on year, after adjusting for how many days were worked. The AI boom was primarily responsible, with semiconductor exports increasing by 180% and computer products by 232%. Exports to China increased by 91%, more than twice the growth of products bound for America.

A federal judge in California temporarily blocked **Paramount's** planned takeover of Warner Bros Discovery. Last week 12 states [sued to stop](#) the \$110bn merger between the studios, which was already approved by the Department of Justice, arguing it violated antitrust laws and would lead to higher ticket prices at cinemas and cable bills at home. The judge issued a two-week pause and scheduled a hearing for August.

Figure of the day: 170m. The number of users of Pix. [Find out why](#) Brazil's beloved payments system has drawn Donald Trump's ire.

The war in Ukraine is in flux. But can deep strikes and pioneering drone tactics finally break the stalemate? Join our live panel of experts on [Inside Defence](#) as they analyse the conflict, on Tuesday, July 21st, 6pm BST/1pm EDT.

Lebanon's president heads to Washington



Photograph: Reuters

On Tuesday, for the first time since 2009, a Lebanese president [will visit the White House](#). Joseph Aoun's meeting with Donald Trump will probably focus on Hizbullah, the [Iranian-backed Shia militia](#) that has dragged Lebanon into nearly three years of war with Israel. Last month, in a deal brokered by America, Mr Aoun's government agreed to deploy the army in south Lebanon and confiscate Hizbullah's weapons. In return, Israel is meant to withdraw. But the terms of the agreement remain vague.

Mr Aoun's advisers have also drawn up pitches for how American firms might benefit from investing in Lebanon. They will need to make a persuasive case: the country is seven years into a grinding financial crisis, made worse by war. GDP has fallen by around half since 2019; the currency has lost 98% of its value. Mr Aoun's government hopes to conclude a long-delayed agreement with the IMF later this year. It will want Mr Trump's help with that, too.

A new era at Number 10



Photograph: Getty Images

On Monday Andy Burnham was [officially appointed as Britain's prime minister](#). Speaking outside 10 Downing Street, he acknowledged that people are “fed up with politics” and promised new economic and political models for the country. That begins on Tuesday, his first full day in office.

Mr Burnham is already clearing out Sir Keir Starmer's allies from the cabinet. He sacked Rachel Reeves as chancellor, replacing her with John Healey, the former defence secretary [who quit his job last month](#) in protest against deficient military spending. Mr Healey served in the Treasury during the Tony Blair era but was not regarded as a front-runner for the chancellor role. [Saving Britain's economy](#) will be high on Mr Burnham's agenda: this week he will announce new measures intended to help Britons cope with the cost of living, though he insists these will be fully funded with tax rises or spending cuts elsewhere.

No sign of panic in Detroit



Photograph: Shutterstock

Lately, America's "Big Three" carmakers have not had it easy. Costs are through the roof at General Motors, Ford and Stellantis as the impact of the Iran war bites. Their aggressive push into electric vehicles has slowed due to weak demand, forcing [costly cutbacks](#) and write-downs worth billions. General Motors, the largest of the three, reports its second-quarter earnings on Tuesday. Revenue is expected to be flat, year on year, at around \$47bn; it has already reported a 4% fall in vehicle sales.

Despite the headwinds, investors remain upbeat. The Cadillac-maker's share price is up by more than 40% since last July. The financial hit from tariffs will be less severe than initially feared; the firm's projected tariff bill for 2026 has been revised to between \$2.5bn and \$3.5bn, down from \$3bn-4bn. High tariffs on [Chinese EVs](#) have so far protected America's carmakers at home. It also helps that full electrification is still years away. Demand for GM's gas-guzzling trucks and SUVs shows little sign of stalling.

The Myanmar dilemma



Photograph: Getty Images

Foreign ministers from the 11 members of the Association of Southeast Asian Nations (ASEAN) meet in Manila this week. The bloc is expected to discuss whether to readmit Myanmar's military rulers to its high-level meetings for the first time since they overthrew the government of [Aung San Suu Kyi](#) and seized power in 2021.

Thailand wants [Myanmar's generals](#) back into ASEAN's councils while Singapore refuses to admit them. Others are somewhere in between. Consensus among all 11 members has proved elusive.

Other matters on the table include recent border clashes between Thailand and Cambodia, and tensions between [China](#) and the Philippines in the South China Sea. At the end of the week, foreign ministers from around the world, including Marco Rubio, America's secretary of state, and his Chinese and Russian counterparts, will join a broader set of meetings on Asian security.

A trip through 1980s New York



Photograph: Getty Images

Colson Whitehead, one of only four American novelists to receive two Pulitzer prizes for fiction, has crafted an eclectic body of work. In addition to the requisite coming-of-age novel and two historical ones that brought home the prizes, his oeuvre includes a zombie novel, a satire and a crime-fiction trilogy, set mainly in Harlem, that “Cool Machine”, published on Tuesday, concludes.

The trilogy’s protagonist is Ray Carney, a furniture salesman and fence; the combination of jobs lets him keep one foot in the straight world and one in the crooked. In the three linked novellas that comprise “Cool Machine”, he navigates a changing [New York](#) in the 1980s: assisting a master thief, retrieving a stolen mask and helping the son of his beloved late cousin. The trilogy’s only flaw is Carney’s relative blandness compared with Mr Whitehead’s wry, often laugh-aloud-funny narration. The series is a valentine to New York grit.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: Which all-female rock group had hits such as “Walk Like An Egyptian” and “Manic Monday”?

Monday: Head & Shoulders is the best selling brand of which type of household product?

All words, in every language, are metaphors.

Marshall McLuhan